Japan Portfolio Brief — Wednesday, November 4, 2026

Covers Mon Nov 2 evening through the Wed Nov 4 close. Tokyo was closed Tue Nov 3 (Culture Day); Korea traded. **Data-quality warning (continuing):** research ran on search snippets only. kabutan, kabuyoho, minkabu, TDnet, DART, MOF, BoJ, company IR and most Korean outlets were not reachable. Per-name news for the small and mid caps could not be checked, so "QUIET" means "nothing found," not "confirmed quiet." Earnings dates are mostly aggregator-sourced and flagged where sources conflict. Check TDnet/DART before acting on any single-name call.

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1. Top of the stack

1. US midterms trigger an AI-trade rout in Tokyo and Seoul on Nov 4. Democrats retook Congress and the market priced stricter AI data-center rules and slower AI capex. The Nikkei fell as much as 4.84% to about 60,030 intraday (lowest since May), then rebounded to close **-1.42% at 62,188.63**, the third straight daily decline (Brecorder, ActionForex, newsonjapan; the close is single-source via snippet). A CNBC snippet puts Topix at -0.89% (3,895.38), unverified (CNBC). Reported intraday moves: SoftBank Group -7% to -9%, Advantest -6% to -8%, Tokyo Electron -5% to -6%, Kioxia -10% to -12% (intraday, not closes). KOSPI swung between 5,421.72 and 5,828.13 and closed **+0.62% at 5,683.80**, foreigners net selling ₩2.51tn (Asia Business Daily).

2. SoftBank Group (9984) is the portfolio's most exposed name into Nov 10 results. The AI/midterm selloff hit it hardest among large caps; the trade is tied to OpenAI (about 13% stake, about $64.6bn invested per one snippet, unverified). H1 results are scheduled Tue Nov 10 (15:30) (SoftBank, per last run). Expect OpenAI valuation and leverage commentary. A September two-year loan of about $11.9bn is on record (Business Standard).

3. Kioxia guidance shock (Nov 2) and the memory chain. Kioxia fell about 15.8% on Nov 2 after guiding quarterly operating profit to about ¥2tn, below expectations, while Tokyo Electron and Advantest rose on strong forecasts (BBN Times, MarketScreener). The Nikkei closed -0.33% at 63,081.86 that day. Apple (Nov 2) reported revenue of about $114.5bn (+12%), gross margin 47.9% including about 1pt of tariff refunds, and guided gross margin 45–46%, which CNBC called disappointing (MacRumors, CNBC, snippet). Read-through is memory cost pressure for Samsung, SK hynix, Sony (sensors), Canon, Seiko Epson, Omron; no explicit supplier commentary found.

4. Korea tape resolved: both KOSPI figures were right, for different days. Nov 2: +2.24% to 5,859.08 (Korea Times). Nov 3: **-3.59% to 5,648.79**, foreigners net sold ₩1.5tn; KOSDAQ -4.08% to 704.39 (Seoul Economic Daily). Nov 4: +0.62% to 5,683.80; KOSDAQ +1.50% to 714.95. USD/KRW about 1,341. The Bank of Korea is expected to hike again (see Macro).

5. SBI Holdings (8473) H1 (Nov 2): record. Net profit +39.1% to ¥230.5bn, revenue +17% to ¥1.0575tn, pre-tax profit +53% to ¥324.3bn; annual dividend forecast raised ¥15 to ¥110; the crypto business loss widened (Nikkei, media-ir, SBI presentation; dividend/crypto details single-source, tanshin not opened). MATTERS, positive.

2. What matters, by theme

Macro, rates, FX

- **BoJ:** held at 1.25% on Oct 30 after a September hike; Takata dissented for 1.5% (Bloomberg, FXStreet). Ueda said the price target is not yet sustainably achieved; Bloomberg/Reuters read a possible December hike (Yahoo/Reuters), while FX outlets on Nov 2 called the tone "less hawkish," tying hikes to FX, inflation expectations and the Middle East (FXStreet). No sourced December probability found (last run's 68% remains unsupported). No Ueda remarks dated Nov 3–4 found.

- **JGBs:** 10y about 2.77% on Nov 2–3 (2.774 on Nov 2, 2.776 on Oct 30, 2.842 on Oct 29) (Trading Economics, Investing.com). This corrects the roughly 2.83% reference in earlier runs. Nov 4 close, 2y, 5y and 30y not found; the 30y auction on Oct 8 was 4.109%. An undated Bloomberg snapshot (10y 3.10, 30y 4.20) is stale. The 10y peaked near 3.055% in September (CNBC).
- **Yen:** USD/JPY about 157.9–158.0 on Nov 2; briefly 157.15 after the BoJ hold; Nov 4 Asia commentary has it near or just under 158.5 (loose; treat as about 158) (FXStreet Nov 2, FXStreet Nov 4). Finance Minister Katayama repeated on Nov 2 that Tokyo is ready to act on disorderly moves, citing the joint statement with the US; the market largely ignored it (GTC). No intervention found.
- **Bank of Korea:** base rate 3.00%, held Oct 22 (7–0) after July and August hikes (BOK). **October CPI was released Nov 3** (not Nov 4): headline 2.8% y/y (from 2.9%), core 2.8% vs 2.7% forecast; the price-cap system cut CPI by 0.8pt (Newsworks, Korea Times). The BoK sees November CPI in the high 2% range; about 90% of surveyed analysts expect another hike in November. Next meeting date unverified (late November; earlier runs cited Nov 25/26).
- **Korea structure:** the Commercial Act's mandatory treasury-share cancellation drove the 2026 holdco rerating; MSCI kept Korea in EM without adding it to the developed-market watchlist in June (Korea Times). No new structure news found for Nov 3–4.

Megacaps / tech (Japan)

- **SoftBank Group (9984):** see Section 1. MATTERS.
- **Kioxia / Advantest / Tokyo Electron (read-through):** see Section 1. Advantest's drop on Nov 4 was macro, not company news.
- **Sony (6758):** no Nov news. H1 listed Nov 10 on Investing.com (unverified; earlier runs said mid-Nov, last year Nov 11). In July it raised FY3/27 guidance to ¥12.5tn sales and ¥1.72tn operating income (snippet).
- **Keyence (6861), Canon (7751):** reported before the window (Keyence Oct 29; Canon 9M operating profit ¥327.7bn, +8.4%, Monex). Nov 4 reaction not found. NOISE/priced.
- **Seiko Epson, Omron, Daikin, Mitsubishi Materials, Sumitomo Metal Mining:** no news. Dates unconfirmed except Daikin Nov 5 and SMM about Nov 10 (earlier runs: kabuyoho, Matsui). QUIET.
- **Appier, SHIFT, Oro, Optex, MegaChips, RS Technologies, Sanken:** nothing found; high beta to the Nov 4 AI selloff. QUIET/unverified.

Banks / financials

- **SBI Holdings (8473):** see Section 1.
- **MUFG (8306):** H1 Nov 13 per a calendar snippet, with SMFG and Mizuho also Nov 13 (kabutore); not confirmed on IR. **Japan Post (6178):** H1 Nov 13 per kabuyoho (snippet). **SMTG (8309):** Nov 12 per earlier runs (kabuyoho).
- **Kita-Nippon (8551), 8524, Kyoto FG, Resona, Shimizu Bank, Fidea, Mitsui Fudosan, TOC, Yakult, Shochiku, Universal Entertainment, Tokyotokeiba, Keisei:** nothing found. QUIET/unverified; most H1 reports fall Nov 5–14.

Industrials / autos / small-mid caps

- **Subaru (7270):** H1 **Nov 10 (13:00)** per the IR calendar snippet (Subaru IR); the earlier Nov 6 date is unsupported. **Honda (7267):** Nov 10, 15:30 (Honda IR; snippet). **Suzuki (7269):** date not found; Aug 5 cut FY operating profit forecast to ¥540bn (Monex).
- **Nakayama Steel (5408):** H1 Nov 5 (kabuyoho) vs Nov 10 (TradingView, likely an estimate); Nov 5 more likely (last year Nov 6). **Kubota (6326):** Q3 "early Nov," date unconfirmed. **JR Central (9022):** reported Oct 28; the earlier-run FY net-profit raise to ¥487bn conflicts with a kabutan snippet reporting ordinary profit forecast ¥715bn from ¥653bn — different measures, both unverified.
- **Ebara Jitsugyo, Fudo Tetra, Hi-Lex, KH Neochem, Obara, Shibaura Machine, JAPEX, Katakura, Tigers Polymer (H1 Nov 11 per earlier run), Valqua:** not checked this run. UNVERIFIED/QUIET.

Korea names

- **Taekwang Industrial (003240): MATTERS, unresolved.** Trustone's Sep 3 letter (Ajunews); Taekwang filed criminal complaints in mid-September (KDF); the Oct 3 reply deadline passed with no answer per Trustone (Hankyung). Disputed ₩2m/share treasury-share tender offer (Nate). No EGM request or court filing confirmed; no Nov 2–4 news. Check DART.
- **LG Chem pref / LG Corp:** LGES Q3 (Nov 3): operating profit ₩756bn (+25.7%), ₩339.1bn excluding ₩416.9bn of US 45X credits, net loss ₩296.9bn, Q4 revenue guided up about 10% q/q on ESS (Asiae). Earlier runs cite an Oct 28 board approval to sell about ₩2.5tn of LGES shares via PRS from Nov 27 plus a ₩300bn buyback; this run could not re-confirm (only an Oct 2025 PRS and an undated Dealsite headline about a ₩7.7tn stake sale were found). LG Chem Q3 date and result not found.
- **LG Electronics pref:** Q3 preliminary operating profit ₩781.9bn (+13.5%), below consensus on LG Innotek (Hankyung). NOISE.
- **Amorepacific Group:** Q3 (Oct 29) holdings operating profit ₩130.1bn (+24.7%), Amorepacific Co. ₩115.2bn (+25.4%) beat (SBS Biz). NOISE, positive.
- **Samsung C&T:** construction Q3 operating profit ₩277bn; 2026 order target raised to ₩30.1tn from ₩23.5tn; consolidated figure conflicts (₩994bn vs ₩1,143bn) (Bizwatch). Verify on DART.
- **SK Inc:** NAV discount about 53.5% (September); cancellation of about 14.69M shares (about 20%) due January 2027 (Herald); subsidiary SK Innovation record Q3 operating profit ₩3.70tn, SK On loss ₩80.5bn (CEOScore). QUIET.
- **NAVER:** Q3 Nov 11, 16:00 per calendar (KnowingAsset; unconfirmed by the company); Naver Financial/Dunamu swap postponed again in July (MTN).
- **F&F:** Q2 sell-off of over 20% on Aug 3 (Edaily); Q3 likely Nov 10–11 (unverified). **Hyosung, LS Corp:** power-equipment peers strong; no hard data. QUIET.
- **ILJIN, SK Discovery, Daewon Sanup, Eusu, Misto, Motonic, Seoul City Gas, Samyang Tongsang, Ubiquoss:** nothing found; Q3 filing deadline Nov 14. QUIET/unverified.

3. Probably noise

- **Apple results (Nov 2):** a beat with soft guidance; priced, and read-through is indirect.
- **Canon, Keyence, Amorepacific, LG Electronics Q3:** reported before the window, already in prices.
- **Kioxia Nov 4 intraday -10% to -12%:** part of the beta unwind, not new company news.
- **Stale items:** the 76% December-hike figure (Dec 2025), the undated Bloomberg 3.10% 10y snapshot, and the Subaru Nov 6 date.
- **Honda "FY operating profit raised to ¥650bn":** undated snippet, unconfirmed.

4. Time-sensitive / positions watch

JGB No. 466 (0.50%, JP1024661QB1) — matured Sun Nov 1; settlement still unverified. No MOF or custodian source was found again. The ISIN-to-No. 466 mapping remains inferred. Tokyo is open today, so the reinvestment window is live. Reference: 10y about 2.77%, down from about 3.05% in September; December hike risk is real but un-quantified. **Decisions:** (1) confirm with the custodian that proceeds settled; (2) reinvest or hold cash. **`watchlist-japan.md` needs updating once redemption is confirmed;** the line is retained with a flag.

*Calendar (= aggregator/inferred/conflicting):**

- Nov 5: Daikin*; Nakayama Steel* (Nov 5 vs 10)
- Nov 6: US payrolls (not re-verified)
- Nov 10: **SoftBank Group (15:30)**; **Subaru (13:00)**; **Honda (15:30)**; Sony*; Sumitomo Metal Mining*
- Nov 11: **NAVER (16:00)***; Tigers Polymer

- Nov 12: SMTG
- Nov 13: **MUFG**, *Japan Post*; 8524 Q2 (14:00)
- Mid-Nov: Suzuki* (date not found), Kubota Q3*, Mitsubishi Materials*, Katakura*; Korea small caps by Nov 14
- Late Nov (date unverified): Bank of Korea meeting
- Nov 27: LG Chem's LGES PRS sale start* (not re-confirmed)

Undated-but-live: SoftBank/OpenAI leverage; AI-capex and US AI-policy headlines after the midterms; Kioxia/NAND pricing; Taekwang–Trustone EGM; December BoJ hike; BoK hike; yen near 158 with intervention rhetoric.

Identity/watchlist flags:

1. **8551 vs 8524 — still open for the owner.** 8524 = 北洋銀行 (The North Pacific Bank, Hokkaido); 8551 = The Kita-Nippon Bank (Iwate). Coverage follows 8551. Please confirm which is held. Nothing found on either today.
2. **JGB JP1024661QB1:** matured Nov 1; mapping inferred; settlement unverified.
3. **Date corrections:** Subaru H1 is Nov 10 (not Nov 6); Korea October CPI came out Nov 3 (not Nov 4).
4. No other identity changes confirmed.

5. Follow-up questions to investigate

- **JP1024661QB1:** custodian confirmation of settlement; reinvestment plan.
- **SoftBank (9984):** Nov 4 close, OpenAI valuation and LTV before Nov 10.
- **Nov 4 closes:** actual Topix and single-stock closes for SoftBank, Advantest, Kioxia, Tokyo Electron.
- **LG Chem / LG Corp:** DART confirmation of LGES PRS terms and the Nov 27 start; LG Chem Q3.
- **Taekwang (003240):** EGM convocation or court-permission filing after Oct 3.
- **Samsung C&T:** consolidated Q3 (₩994bn vs ₩1,143bn).
- **Bank of Korea:** official November meeting date.
- **Unsearched names:** about 30 Japan and Korea small and mid caps need a per-ticker pass; allowing kabutan.jp, kabuyoho.jp, minkabu.jp, release.tdnet.info, dart.fss.or.kr, boj.or.jp, mof.go.jp and company IR hosts would fix most gaps.